

NATIONAL NETWORK • Y2 → Y5 ROLLOUT

# RaceSims

- **National Network**

India's integrated motorsport development platform. Chennai is the proof point. This is the path from one centre to a national network — and to the next generation of Indian racing drivers.

# India's integrated *motorsport development platform.*

Indian motorsport is in a moment most of us have waited a long time for. **F1 viewership in India crossed 50 million** in the last season, growing **25%+ year on year**. The INRC delivers close racing season after season. **ARKA Motorsports** has spent four decades building championship pedigree. The audience is there. The talent is there. What's been missing is **a way in**.

**Padel, cricket nets, climbing gyms, tennis clubs** — every other sport has a casual on-ramp. Motorsport hasn't. The cost of entry has kept it out of reach. And for those who want to take it further into real racing, the ladder up has been narrow and gated for too long.

**RaceSims is built for both.** A place where anyone can try motorsport for the price of a movie ticket — and where those serious about it can find a real path to the racing grid through partnerships with **ARKA** and **Polo Cup**.

## 01

### The equipment

Direct-drive wheelbases, motion platforms, load-cell pedals — the same technology behind F1 driver simulators — has finally become affordable enough to deploy commercially in India.

## 02

### The pedigree

Founded by a working race engineer at **ARKA Motorsports** (130+ national championship titles). Every curriculum, every coaching session, every centre standard is shaped by motorsport people. The Ladder pathway to real-world seats is real.

## 03

### The integration

Direct distributor in India for both **Conspit** and **VNM**. We get the gear at trade pricing — a **₹65L** centre built for **₹39L**. And we run the full stack: centres + hardware + championship + curriculum + sim-to-real pathway.

# By 2029, RaceSims will be *two things at once*.

India has **425 million gamers**; **10 million+** play racing games regularly. F1 viewership crossed 50 million in 2024. Yet padel, cricket, climbing, tennis — every other sport has a casual on-ramp. Motorsport hasn't. **We are building both the open door and the structured path.**

## WHAT WE'LL HAVE BUILT AT SCALE

### 100,000+ FIRST-TIME RACERS

Indians who have raced with us — for most, their first time behind a real racing wheel.

### 2,000+ ACADEMY GRADUATES

Through the full curriculum — Initiation, Race Academy, Rally School, Pro Track — India's first generation of structured-trained sim racers.

### RACESIMS-TRAINED ON REAL GRIDS

A measurable cohort of Academy graduates on Indian grids via ARKA Rally Drive and Polo Cup Follow Car.

### CHAMPIONSHIP · SEASON 3

Broadcast, sponsored, with established hero drivers and national league standing.

## THEN COME THE NUMBERS

### CENTRES OPERATING

17

7 Tier 1 + 5 Tier 2 cities

### NETWORK REVENUE

₹40 cr

RaceSims direct ₹25-28 cr

### EBITDA

₹8-10 cr

Operating cash funds rollout

### VALUATION

₹250-400 cr

Series B in conversation

100,000+ customers across the network · 2,000+ Motorsport Academy graduates · First Academy graduate in real-world motorsport seat.

**A place where motorsport finally becomes something anyone can try — and where the path to the racing grid begins for those who want to take it.**

# Three pillars. *The same three that define the brand.*

**Drive · Train · Compete** isn't just our framework — it's how each centre makes money. Each pillar carries multiple streams. Together they compound.

**DRIVE**

*The volume — anyone can come*

**Per-session rigs**

- Open Sessions · ₹500-1,000/hr
- Pass 8 · ₹5K/mo · Pass 16 · ₹9K/mo
- 10-hr prepaid pack (~15% off)
- Motion rig premium · ₹1.2-2.5K/hr

**Group · Corporate · Private**

- Corporate team days · ₹40-60K
- Birthday parties · ₹15-25K
- Private nights · ₹30-50K
- Brand activations / content shoots

**Café · Merch · F&B**

- Café · ₹150-400 avg ticket
- Branded merch · event-day kits
- Photo / content rentals

**TRAIN**

*The depth — sim to real*

**The Motorsport Academy**

- Initiation · 4 sessions · ₹8K
- Race Academy · 8 sessions · ₹14K
- Rally School · 10 sessions · ₹16K
- Pro Track · bespoke
- 1-on-1 coaching · ₹2.5-3.5K/hr

**Pro Driver Training** (B2B)

- Sim + telemetry coaching for real motorsport teams
- Per-event or retainer pricing

**Real Driving Experiences**

*Through ARKA + Buzzing Hornet partnerships*

- ARKA Real Drive** · ₹1.75L · 43% GM
- Buzzing Hornet Real Drive** · ₹2.25L · 44% GM
- Sim morning + real-car afternoon at the track

**COMPETE**

*The brand engine*

**Championship participation**

- Round entry · ₹2.5-5K
- Season pass · ₹15-25K
- Qualifying events · ₹500-1.5K

**Championship operating profits**

- Centre share of national championship*
- Hosted round share
- Sponsorship revenue share
- Broadcast + streaming revenue
- Content monetisation

As the network grows, each centre's Compete pillar **compounds** — every championship round, every leaderboard, every sponsor adds value to every centre.

**₹2.5 cr Y5 revenue per mature centre · multi-stream resilience · Compete compounds with every new centre.**

# Chennai is what *every centre will look like.*

We've built the single-centre business case bottom-up. **₹95L Y1 investment. ₹5.16 cr 5-year EBITDA. 25-month payback.** Every centre in the network — Mumbai, Bangalore, Delhi, all of them — runs to this template, adjusted for city.

Y1 CASH NEED

₹95L

₹72L capex + ₹22L WC

PAYBACK

25<sub>mo</sub>

Q1 of Year 3

5Y CUMULATIVE EBITDA

₹5.16<sub>cr</sub>

5.4× capital multiple

Y5 EBITDA MARGIN

68%

Break-even at 23%

| CHENNAI P&L • ₹ LAKHS                                     | Y1   | Y2    | Y3    | Y4    | Y5    | 5Y TOTAL |
|-----------------------------------------------------------|------|-------|-------|-------|-------|----------|
| Rig revenue                                               | 59.1 | 105.1 | 141.9 | 170.8 | 196.6 | 673.5    |
| Ancillary (café, events, Academy, Real Drives, Track Day) | 9.8  | 22.5  | 38.2  | 52.1  | 65.1  | 187.7    |
| Total revenue                                             | 68.9 | 127.6 | 180.1 | 222.9 | 261.7 | 861.2    |
| Total opex (incl. COGS)                                   | 53.8 | 62.3  | 69.5  | 76.3  | 83.2  | 345.1    |
| EBITDA                                                    | 15.1 | 65.3  | 110.6 | 146.6 | 178.5 | 516.1    |
| EBITDA margin %                                           | 22%  | 51%   | 61%   | 66%   | 68%   | 60%      |
| PAT (after dep + 25% tax)                                 | 3.2  | 40.8  | 74.8  | 101.8 | 125.7 | 346.2    |

Full Chennai proposal in the companion deck (12 slides). Numbers locked. Investor-grade.

# Mega Flagship and Boutique. *Different roles. Shared brand.*

BOUTIQUE

The Chennai template, replicated

|                       |                        |
|-----------------------|------------------------|
| Footprint             | 1,200-2,000 sq ft      |
| Rigs                  | 6 (5 Rally + 1 Motion) |
| Capex per centre      | ~₹95 L                 |
| Y5 revenue            | ₹2.5 cr                |
| Y5 EBITDA margin      | ~67%                   |
| Payback               | ~26 months             |
| Capital multiple (5Y) | 5.2×                   |

**Role:** volume + training + local community. Most centres are Boutiques — **36 of 43** at saturation.

MEGA FLAGSHIP

F1 Arcade-style experience venue

|                       |                               |
|-----------------------|-------------------------------|
| Footprint             | 4,000-6,000 sq ft             |
| Rigs                  | 12-18 (mix of Rally + Motion) |
| Capex per centre      | ~₹4-5 cr                      |
| Y5 revenue            | ₹5-7 cr                       |
| Y5 EBITDA margin      | 30-35%                        |
| Payback               | ~36 months                    |
| Capital multiple (5Y) | 4.5×                          |

**Role:** brand + events + championship rounds + premium F&B. **7 Megas** at saturation — one per Tier 1 metro.

Both formats share the Drive • Train • Compete framework, the Conspit/VNM kit, and the ARKA pedigree. *The difference is scale, not DNA.*

# From one centre in 2026 *to 43 across India by 2030.*

|                                                                                                                                                                          |                                                                                                                                                                                                                |                          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|
| Y1 · 2026                                                                                                                                                                | <b>Chennai opens.</b> Operating playbook documented as the franchise prototype. Hot Lap pool live across 4 dealer cities.                                                                                      | 1 centre · ₹0.7 cr rev   |
| Y2 · 2027                                                                                                                                                                | <b>Mumbai Mega Flagship</b> opens (direct, Powai). 5 boutique franchises: Hyderabad · Bangalore Indiranagar · Gurgaon · Pune · Kochi. <b>National Championship Season 1 launches.</b>                          | 7 centres · ₹15-20 cr    |
| Y3 · 2028                                                                                                                                                                | <b>Bangalore Mega + Delhi-NCR Mega</b> (direct). 8 boutique franchises: Chennai-OMR · Bangalore-Whitefield · Hyderabad-Gachibowli · Mumbai-Bandra · Coimbatore · Jaipur · Chandigarh · Ahmedabad.              | 17 centres · ₹35-45 cr   |
| Y4 · 2029                                                                                                                                                                | 3 more Mega Flagships: <b>Hyderabad · Pune · Chennai-OMR</b> . 12 boutiques: Goa · Lucknow · Indore · Surat · Mysore · Mangalore · Vadodara · Trivandrum · Vijayawada · Madurai · Bhubaneswar · Visakhapatnam. | 32 centres · ₹70-85 cr   |
| Y5 · 2030                                                                                                                                                                | <b>Ahmedabad Mega + Kolkata Boutique</b> open. Final 9 Tier-1 second-location + Tier-2 boutiques across remaining cities. <b>India saturated.</b>                                                              | 43 centres · ₹105-115 cr |
| 7 Mega Flagships in Tier-1 metros · 36 Boutiques (5 direct + 31 franchise) across Tier-1 second-locations and 18 Tier-2 cities · Every centre runs the Chennai template. |                                                                                                                                                                                                                |                          |

# ₹105 cr network revenue. ₹33 cr EBITDA to RaceSims.

|                                                                            |                                                                               |                                                                                                |                                                                            |
|----------------------------------------------------------------------------|-------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|
| <div>TOTAL CENTRES</div> <div>43</div> <div>12 direct + 31 franchise</div> | <div>NETWORK REVENUE</div> <div>₹105 cr</div> <div>All centres combined</div> | <div>RACESIMS DIRECT REVENUE</div> <div>₹83 cr</div> <div>Operator + Distributor + Champ</div> | <div>RACESIMS EBITDA</div> <div>₹33 cr</div> <div>40% blended margin</div> |
|----------------------------------------------------------------------------|-------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|

| REVENUE STREAM • Y5                               | VOLUME | ₹/UNIT  | RACESIMS REVENUE |
|---------------------------------------------------|--------|---------|------------------|
| Mega Flagship centres (direct)                    | 7      | ₹6 cr   | ₹42.0 cr         |
| Boutique centres (direct)                         | 5      | ₹1.8 cr | ₹9.0 cr          |
| Franchise royalty (6% × revenue)                  | 31     | ~₹9L    | ₹2.8 cr          |
| Franchise fees (new openings)                     | ~5/yr  | ₹20-25L | ₹0.8 cr          |
| Hardware sales to franchises                      | —      | —       | ₹5.5 cr          |
| Hardware sales to consumers (centres as showroom) | —      | —       | ₹12.0 cr         |
| VMS (network + external SaaS)                     | —      | —       | ₹1.8 cr          |
| Championship sponsorships + broadcast             | —      | —       | ₹4.0 cr          |
| Training programmes + corporate                   | —      | —       | ₹5.1 cr          |
| Total RaceSims direct revenue Y5                  |        |         | ~₹83 cr          |



# ₹20-25 cr external capital. *Then operating cash funds the rest.*

## 5-YEAR CAPITAL DEPLOYMENT (₹ CR)

| YEAR         | DIRECT CAPEX | FRANCHISE + MKT | TOTAL |
|--------------|--------------|-----------------|-------|
| Y1 · 2026    | 0.95         | 0.5             | 1.45  |
| Y2 · 2027    | 4.0          | 3.5             | 7.5   |
| Y3 · 2028    | 8.0          | 6.0             | 14.0  |
| Y4 · 2029    | 12.0         | 8.0             | 20.0  |
| Y5 · 2030    | 6.0          | 8.0             | 14.0  |
| 5-year total | 30.95        | 26.0            | 56.95 |

## THE FUNDING LOGIC

External capital needed only in the first 30 months. After Y3, operating cash from mature centres + franchise royalties + hardware sales funds the rest of the rollout.

### Series A · now

₹15-20 cr · funds Y1 (Chennai) + Y2 (Mumbai Mega + 5 boutique franchises) + championship launch + brand build.

### Series B · optional, Y3

₹25-35 cr at ₹500-700 cr valuation if we want to accelerate Y3-Y5 buildout or fund international expansion. Not required for India saturation — operating cash covers it.

# Why a franchisee says yes. *And why this scales.*

## FRANCHISEE ECONOMICS

|                                                |                        |
|------------------------------------------------|------------------------|
| Franchise fee (one-time)                       | ₹25 L                  |
| Setup capex (Chennai template)                 | ₹95 L                  |
| Total Y1 investment                            | <b>₹1.2 cr</b>         |
| Royalty to RaceSims                            | 6% of revenue          |
| Marketing fund (pooled)                        | 2% of revenue          |
| Hardware purchased through RaceSims            | At distributor pricing |
| <b>Y5 franchisee EBITDA (after deductions)</b> | <b>₹1.4-1.5 cr</b>     |
| <b>Franchisee payback</b>                      | <b>~30 months</b>      |
| <b>5Y franchisee EBITDA</b>                    | <b>~₹4.3 cr</b>        |

## RACESIMS UNIT ECONOMICS FROM EACH FRANCHISE

|                                                  |               |
|--------------------------------------------------|---------------|
| Franchise fee (Y0)                               | ₹25 L         |
| Hardware GM at setup (~30%)                      | ₹12 L         |
| Royalty + marketing fund Y5                      | ~₹20 L/yr     |
| Ongoing hardware replenishment GM                | ~₹5 L/yr      |
| <b>5Y revenue from one franchise to RaceSims</b> | <b>~₹85 L</b> |

## WHY FRANCHISEES SAY YES

- Proven concept · Chennai unit economics already locked
- Brand · already known in motorsport circles via ARKA
- Cost edge · distributor pricing on hardware (saves ~₹25 L vs retail)
- Training + ongoing support from RaceSims HQ team
- Championship pipeline · customers flow in from national programmes

31 franchise centres at saturation = capital-light scaling. RaceSims books ₹26 cr+ from the franchise channel over 5 years.

# Five moats. *What we hold that no one else can replicate.*

01 · PEDIGREE MOAT

**ARKA exclusivity + The Ladder**

Founder is a working race engineer at **ARKA Motorsports** (130+ national championship titles since 1987). First Academy graduates in real ARKA seats by Y3. Years to build, almost impossible to replicate from cold.

02 · INTEGRATION MOAT

**Centres + championship + curriculum + sim-to-real**

The only brand in India running the full stack under one roof. Hardware-only and community-only competitors play one slice. **We play the whole.**

03 · COST MOAT

**Direct Conspit + VNM distribution**

Every centre at trade pricing — ₹65L spec for ₹39L. National network funds itself off operating cash from Y3 onward. **Capital-light scaling.**

04 · NETWORK MOAT

**43 centres feeding one brand**

17 centres by Y3 · 43 by Y5 — leaderboards, championship rounds, member migrations all compound across the network. The brand becomes a **flywheel**, not a venue chain.

05 · BRAND MOAT

**"Motorsport Academy graduate" as a credential**

"*Motorsport Academy graduate*" becomes a recognised mark inside the Indian motorsport ecosystem. **RaceSims Champion** means something. Years to earn, permanent once landed.

**Together they compound**

Each moat alone is meaningful. Together they form a **defensive structure no specialist competitor can assemble in under 5 years** — even with capital.

# ₹1,000-1,300 cr at Year 5. *Realistic, not aspirational.*

THREE VALUATION LENSES · Y5

| LENS                                                                                       | MULTIPLE            | VALUATION       |
|--------------------------------------------------------------------------------------------|---------------------|-----------------|
| Revenue (premium growing brand)                                                            | 12-15×              | ₹1,000-1,250 cr |
| EBITDA (mature platform)                                                                   | 25-30×              | ₹825-990 cr     |
| Strategic (PE / motorsport buyer)                                                          | 15-18× rev + growth | ₹1,250-1,500 cr |
| Realistic Y5 range                                                                         |                     | ₹1,000-1,300 cr |
| With adjacency stack layered (AMC, junior academy, merch retail, college curriculum, etc.) |                     | ₹1,250-1,650 cr |

EXIT SCENARIOS

- **IPO** · Y5-Y6 at ₹1,500 cr+ if 43-centre saturation hits + adjacencies deployed
- **Strategic acquisition** · global esports / motorsport group, Indian sports conglomerate (Tata Sports, Reliance, Mahindra Racing)
- **PE growth fund** · build-and-hold to ₹3,000 cr+ via international expansion
- **Continued private at scale** · founder retains control through cash-flow funding

COMPARABLE BENCHMARKS

- Cure.fit / Cult.fit at peak: \$1.5B (~₹12,000 cr)
- F1 Arcade (global): NYSE-traded parent · comparable model
- Topgolf / Drive Shack: \$2B+ entertainment-experience venues

Premium · scarce · category-defining. *India's only integrated motorsport development platform.*

# ₹15-20 cr Series A. *Built to compound.*

## USE OF FUNDS

- Chennai flagship · ₹1 cr
- Mumbai Mega Flagship · ₹4-5 cr
- 5 boutique franchise support · ₹1.5 cr
- Marketing + brand + championship · ₹3-4 cr
- VMS platform + team · ₹2 cr
- HQ ops + working capital · ₹3-5 cr

## WHAT IT RETURNS

- 7 centres operating by end of Y2
- 17 centres · ₹8-10 cr EBITDA by end of Y3
- ₹1,000-1,300 cr Y5 valuation
- 50-70× return potential on Series A
- Operating cash positive by Y3 — no further dilution required

## TIMELINE

- Close Series A · 90 days from term sheet
- Chennai open · Q3 2026
- Mumbai Mega open · Q2 2027
- 7 centres operating · End Y2
- 17 centres + championship S2 · End Y3
- Series B conversation · End Y3 (optional)

**We built the unit economics. We built the brand. Now we want to build the network.**

*Help us put the next great Indian driver on a real grid by 2029.*